Technical (Core)

Contract Practice and Administration Part 5

MRICS & AIQS APC Coaching Programme

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Extension of Time vs Prolongation costs.

Formulas to calculate Head office overheads

- Hudson Formula
- Emden Formula
- Eichleay Formula
- Hank Laan Formula
- Emstorm Formula
- Manashl Formula
- Cartert Formula
- Allegheny Formula
- Samaratunga Formula

HUDSON FORMULA:-

$$\frac{\text{HO/P}}{100} \times \frac{\text{Contract Sum}}{\text{Contract Period (Weeks)}} \times \text{Period of Delay (weeks)}$$

where :

HO/P = the percentage of head office overhead cost and profit allowed in the Tender

EMDEN FORMULA:-

$$\frac{\text{H}}{100} \times \frac{\text{C}}{\text{CP}} \times \text{PD}$$

where :

h = head office percentage arrived at by dividing the total overhead cost and profit of the Contractor's organization as a whole, by the total turnover.
c = contract sum
cp = contract period in weeks
pd = period of delay in weeks

EICHLEAY FORMULA:-

Step 1.

$$\frac{\text{Contract Billings}}{\text{Total Contract Billings for Contract Period}} \times \text{Total Head Office Overheads for Contract Period} = \text{Allocable Overhead}$$

Step 2.

$$\frac{\text{Allocable Overhead}}{\text{Days Of Performance}} = \text{Daily Contract Head Office Overhead}$$

Step 3.

$$\text{Daily Contract Head Office Overhead} \times \text{Days of Compensable Delay} = \boxed{\text{Additional Payment due}}$$

- The above formulas are identified in the **SCL protocol**.
- However, does not recommend using the Hudson formula fundamentally because, it uses the HO/P considered in the tender, and does not give the true contribution to the HO/P.
- In addition, the Hudson formula has been proven inappropriate in certain circumstances. Refer. ***Walter Lilly & Company Ltd v. (1) MacKay and (2) DMW Developments Ltd* [2012] EWHC 1773**

Claims & Claims procedure

Claims procedure

Types of claims

- Contractual claims – arising out of expressed provisions of the Contract (Clause 20 in FIDIC 1999)
- Claims at law – breach of implied terms of the Contract (Decennial liability)
- Quantum merit claims – ex. works done based on LOI
- Ex gratia claims – out of kindness or sympathy to maintain relationship (exceptional price fluctuations, covid costs etc)

Structure of a claim (typical)

- Facts – Contemporary records, witness statement, other evidence (news)
- Legal basis – Contractual and legal provisions
- Liability – Emp liability to provide relief
- Quantum – Amount of EOT and/or additional payment

Variations vs Claims

Variation	Claim
• Formal scope change in a construction contract. • Can be initiated by client or contractor. • Managed, valued, and executed as per contract terms. • May affect contract price, project schedule, or both. • Can be negotiated before or after executing the work	• Request for extra time/money due to unexpected event(s) • Arises from disputes, delays, or unforeseen conditions. • Requires evidence of event impact. • Contract outlines claim procedures. • Often leads to adversarial disputes and compensation discussions. • Should demonstrate “cause” and “effect”

Domestic / Named / Nominated Subcontractors

- **Domestic** – Appointed by MC as per his own requirements subject to approval of Engineer (if reqd.)
- **Named** – Appointed by the MC from the list provided by the Employer
- **Nominated** – Appointed by Employer but Contract with Main Contractor

Employer's obligations towards Nominated Subcontractors

- Selection and appointment of a suitable SC on time
- If MC raises a reasonable objection, nominate another SC
- Making direct payments to the NSC if main contractor fails
- Appoint another SC if NSC fails to perform

Sectional completion / Partial possession

- **Sectional completion –** completion of any section for which separate Time for Completion is provided under the Contract.
- **Partial possession –** occupation or use of any substantially completed part of the permanent works by the Employer either before or after completion to the satisfaction of the Engineer.

In both cases **Contractor <u>may request</u> issuance of TOC** and Engineer to comply.

- Requirements of issuing TOC
- Permanent works should be substantially completed
- Satisfactorily passed any Tests on Completion
- Written undertaking from the Contractor to finish any outstanding work during DLP

Substantial Completion means – The employer can take beneficial use of the project for its intended purpose.

Consequences of issuing the TOC.

- Commencement of DLP
- If the contract permits the 1st half of the retention will be released
- Contractor's obligation for insurance for works will be limited only for the outstanding works
- Contractor no longer liable for LD
- Statement at completion to be provided within specified days upon TOC
- Commencement of Decennial liability

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Provisional Sums
Defined and Undefined

Definition – FIDIC 1999 (Red Book)

"Provisional Sum" means a sum (if any) which is specified in the Contract as a provisional sum, for the execution of any part of the Works or for the supply of Plant, Materials or services under Sub-Clause 13.5 [Provisional Sums]

Provisional sums are generally an allowance or estimate included within the contract price of a construction contract for works that are:

1. not sufficiently defined, designed or detailed to allow an accurate determination of its cost at the time the contract is entered; and/or
2. work that the Employer may or may not wish to be carried out.

- **New Measurement Rules (NRM)** categorizes provisional sums as being either "defined" or "undefined".
- **Defined provisional** sums are those that are sufficiently well defined and/or detailed to allow the contractor to make allowances for them in their programming, planning and pricing preliminaries.
  - ✓ a description of the nature and construction of the work;
  - ✓ a statement of how and where the work is to be fixed to the building and what other work is to be fixed thereto;
  - ✓ a quantity or quantities that indicate the scope and extent of the work; and
  - ✓ any specific limitations and the like.
- Undefined provisional sums are those that fall outside of the above parameters.

Eg:-, work required below an existing structure (i.e. piling works) where the grounds conditions, and therefore the extent of the works, cannot be determined until the existing structure is demolished and the ground opened.

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Termination & Determination
Know the difference

- **Determination -** Mutual or agreed ending of a contract.
- **Termination -** Ending a contract due to a breach or default by one party.

Term **"Determination" as per FIDIC ?** – Decide or express the Engineer's opinion.

- **How to end a Contract (as per Law)**
  - ✓ Discharge from performance (Ex: DLC)
  - ✓ Terminated by mutual agreement
  - ✓ Termination by court order (bankruptcy)

Article 890 – (Termination of Muqawala Contracts)

A contract of Muqawala shall terminate upon the completion of the work agreed or upon the cancellation of the contract by consent or by order of the court.

Article 268 – (Termination by mutual consent)

The contracting parties may mutually revoke the contract by their mutual consent after it has been concluded.

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Force majeure vs Frustration

- **Force majeure:** When unexpected events (like war, sticks, natural disasters, terrorism, pandemic etc.) prevent parties from fulfilling contract obligations, they may be excused from performance.

Article 273 – (Force Majeure)

In contracts binding on both parties, if force majeure supervenes which make the performance of the contract impossible, the corresponding obligation shall cease, and the contract shall automatically cancelled.

- **Frustration:** Unforeseen events make it impossible to complete a contract, leading to its cancellation, and both parties are released from their obligations.

Article 893 – (Frustration)

If any cause arises preventing the performance of the contract or the completion of performance thereof, either of the contracting parties may require that the contract be cancelled or terminated as the case may be.

Suspension and Termination

Suspension by the Employer

- Sub-Clause 8.8 [Suspension of Work]:
  - ✓ The Engineer can to instruct the Contractor to suspend a portion or the entire Works.
  - ✓ During the suspension period, the Contractor is responsible for safeguarding the relevant parts of the Works to prevent any loss or damage.
- Sub-Clause 8.11 [Prolonged Suspension]:
  - ✓ If the suspension event lasts for more than 84 days,
  - ✓ The Contractor must seek the Engineer's approval to resume the Works.
  - ✓ If the Engineer does not grant permission to proceed within 28 days after the Contractor's request,
  - ✓ The Contractor must give notice and consider the suspension as an omission under Clause 13 [Variations and Adjustments] for the affected part of the Work

Suspension by the Contractor

- Sub-Clause 16.1 [Contractor's Entitlement to Suspension of Work]:
- The Contractor **may** suspend the works after giving notice to the Employer **not less than** 21 days, if
  - ✓ The Engineer does not certify interim payment certificates as per contract requirements (sub cl 14.6).
  - ✓ The Employer does not provide reasonable evidence of financial arrangements to pay the contract price within 28 days of the Contractor's request (sub cl 2.4).
  - ✓ The Employer fails to make payments to the Contractor in accordance with the contract terms (e.g., not paying within amount certified within 56 days after receiving the statement) (sub cl.14.7)

Termination

Termination of the Contract by the Employer (clause 15.2, FIDIC 1999)

In case of the Contractor's failure to fulfill any obligation under the Contract, the Employer is empowered by Clause 15.1 [Notice to Correct] to issue a Notice to the Contractor, requiring them to rectify the failure within a specified timeframe.

a) Failure to comply with Sub-Clause 4.2 [Performance Security] or a notice under Sub-Clause 15.1 [Notice to Correct].
b) Abandonment of the Works or clear intention not to continue fulfilling contractual obligations.
c) Failure to proceed with the Works without reasonable excuse as per Clause 8 [Commencement, Delays, and Suspension] and Clause 7.6 [Remedial Works]
d) Subcontracting the entire Works or assigning the Contract without required agreement.
e) Becoming bankrupt or insolvent, going into liquidation, receiving a receiving or administration order, or any similar event under applicable Laws.
f) Offering bribes, gifts, or inducements to influence actions related to the Contract.

Termination procedure

- the Employer has the right to terminate the Contract by providing the Contractor with a 14-day notice.
- For Sub-Paragraphs (e) or (f), the Contract is terminated immediately upon the Notice issued by the Employer.

Termination

Termination of the Contract by the Contractor (clause 16.2, FIDIC 1999)

The Contractor has the right to terminate the contract by providing the Employer with not less than 14 days' notice, except in cases of **prolonged suspension or insolvency**, where termination can be immediate.

a) There is a prolonged suspension of the Works, typically lasting for a period exceeding 84 days.

a) The Contractor does not receive reasonable evidence of the Employer's financial arrangements within 42 days of suspending the Works for the same reason as mentioned earlier.

b) The Engineer fails to issue an interim payment certificate within 56 days after receiving all the required information under the contract. (28 days + 28 days)

c) The Contractor is not paid the amount properly due in an interim payment certificate within 42 days after the initial 56 days for payment. (56 days + 42 days = 98 days)

d) The Employer substantially fails to fulfill its obligations under the contract.

- Further reading – https://www.lexology.com/library/detail.aspx?g=9557ff6c-8a5c-448f-9924-29a5561742bf

Defects Liability Period
(Defects Notification period)

Defects Notification (Liability) Period – (Clause 11, FIDIC 1999, Red Book)

Defects are in two types

1. **Patent defects** – evident now
2. **Latent defects** – appear in a later stage

Why 12 months (generally) – to cover all climatic conditions

Consequences of ending DLP

- Engineer to issue DLC, within 28 days after the latest expiry dates
- 2nd half of the retention to be released.
- Contractor to submit the final statement (account) within 56 days of DLC
- End of Contractor's obligation on insurance
- Performance security to be released.

Completion, Final Account
and Liquidated (&Ascertained) Damages

Final Account and Completion - Clause 14.11 [Application for Final Payment Certificate]

- Upon 56 days after receiving the performance certificate
- Contractor to submit draft final statement (account) with supporting documents which includes;
- Value of all work done in accordance with the Contract, and
- Any further sums Contractor considers due to him under Contract or otherwise
- If agreed, final statement along with the discharge letter (sub cl. 14.12)
- Engineer to issue final Payment certificate within 28 days after receiving the final statement + discharge letter.
- If dispute exists, Engineer to issue a Payment certificate for the undisputed part. Disputed part referred to DAB 20.4
- Payments to be made by the Employer within 56 days after the Employer receives the PC. (sub.cl 14.7 (c))

Liquidated & Ascertained Damages (LAD)

LAD – Liquidated (represented by a monetary value), **Ascertained** (amount stared prior commencement of the contract)

Liquidated vs Unliquidated damages

Liquidated damages

✓ Genuine pre-estimate of the Employer's potential loss due to Contractor's breach of contract.

Unliquidated damages

✓ Refer to damages that are not pre-determined or specified in the contract.

✓ Assessed and determined based on the actual losses suffered by the Employer

Q : What's the difference between Liquidated Damages and Liquidated & Ascertained Damages (LAD)

✓ Liquidated damages (pre-agreed **but not yet quantified**).

✓ Ascertained damages (pre-agreed **and clearly calculable**).

Recap

- What is a Contract?
  - Express terms
  - Implied Terms
  - Incorporated Terms
- Prerequisites to form a contract
- Contract documents, Rights and Obligations
- Priority of Documents
- Differences between terms
- Standard forms of Contract
- Legislation
- General vs Mandatory Provisions
- Key differences between FIDIC 1987 vs 1999 vs 2017
- Assignment and Novation
- Letter of intent
  - Types of LOI
  - Quantum merit principles
- Letter of Acceptance
- Privity of Contract
  - Collateral warranty
- Performance Securities
  - Alternatives to Performance Securities
- Advance Payments
- Insurances
  - Types of Insurances
  - Administrating Insurance claims
- Interim valuations & payments
- Material on and off site
  - Vesting certificates
- Retention
- Change Management
- Extension of Time
  - EOT procedure
  - Types of Delays
  - Prolongation costs
  - Formulas used for HO overheads
- Types of Claims
- Know the difference – Variation vs Claim
- Named and Nominated Subcontractor
- Sectional completion / Partial possession
- Consequences of issuing the TOC.
- Provisional sum
- Determination vs Termination
- Force majeure vs Frustration
- Suspension and Termination
- Final Account and Completion
- Liquidated and Ascertained Damages
- Defects Notification (Liability) period
- Study Check list
- Recap

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Announcements

- Next CPD Session – **Project Finance Control and Reporting (Core/Technical)**

- Assignment for the Week –
  - Complete the following competencies
    - **Contract Practice (Core/Technical) – Covering Level 1 to 3**
    - **Contract Administration (Optional) – Covering Level 1 to 2**
    - **Business Planning – Covering Level 1.**

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End of Part 5 (Final)

Thank YOU

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